

Multiple Choice (10 marks)

1. The short-run Phillips curve indicates a
 - (a) direct relation between unemployment and inflation
 - (b) direct relation between price and quantity demanded
 - (c) inverse relation between price and quantity demanded
 - (d) inverse relation between unemployment and inflation
2. Which of the following is true of a price floor?
 - (a) The price floor shifts the demand curve to the left.
 - (b) An effective floor creates a shortage of the good.
 - (c) The price floor shifts the supply curve of the good to the right.
 - (d) To be an effective floor, it must be set above the equilibrium price.
3. The effect of the spending multiplier is lessened if
 - (a) the price level is constant with an increase in aggregate demand.
 - (b) the price level falls with an increase in aggregate supply.
 - (c) the price level is constant with an increase in long-run aggregate supply.
 - (d) the price level rises with an increase in aggregate demand.
4. If the world price of copper exceeds the domestic (U.S.) price of copper we would expect
 - (a) the United States to be a net exporter of copper.
 - (b) the United States to impose a tariff on imported copper to protect domestic producers.
 - (c) the demand for U.S. copper to fall.
 - (d) a growing trade deficit in the United States in goods and services.
5. The GDP Deflator differs from the CPI in that the GDP Deflator
 - (a) is thought to slightly overestimate the inflation rate
 - (b) uses base year quantities in its calculations
 - (c) incorporates both current year prices and base year prices
 - (d) incorporates current year quantities in its calculations

True / False (10 marks)

Answer True or False

6. True or False: Ceteris paribus means that anything can change at any time.
7. True or False: Air provides both the largest total utility and the smallest marginal utility due to its essential and abundant nature.
8. True or False: The Federal Reserve uses changing tariffs and quotas as a primary method to influence the economy.
9. True or False: An increase in aggregate demand results in a decrease in both unemployment and inflation rates.
10. True or False: National income measures the total household income across all families in the nation without considering production factors.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the role of firms and households in the circular flow model of a private closed economy, focusing on how goods and revenues are exchanged between them.
12. Discuss how the introduction of a new production technique that lowers costs can influence economic growth. Provide examples to support your analysis.

End of Paper